



Cambridge International AS & A Level

ECONOMICS

Paper 3 Multiple Choice

9708/32

October/November 2021

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Solved by :-
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This document has **12** pages. Any blank pages are indicated.

$$ATC = \min^2$$

All the points on PPC

1 Which statement best defines productive efficiency?

A It is not possible to increase profits by changing the level of production.

Not related to profits

B It is not possible to make anyone better off without others becoming worse off.

It is possible, movement along PPC

C It is not possible to produce the level of output at a lower unit cost.

D It is not possible to produce outside the production possibility curve.

Unattainable

2 Medical researchers indicated that drinking too many sugary drinks is bad for health.

Government intervention to impose a tax on the sale of sugary drinks might help solve which market failures?

	negative externalities of consumption	negative externalities of production	over-consumption of demerit goods
A	no	yes	yes ✓
B	yes ✓	yes	no
C	yes ✓	no ✓	yes ✓
D	yes ✓	no ✓	no

Government uses it to calculate cost and benefits of society.

3 A government uses a cost-benefit analysis approach to infrastructure projects. It is considering building a new railway to link a city centre to its airport. It estimates the following.

$$SC = PC + EC$$

$$1.7 = 1.0 + 0.7$$

	\$ billion
private costs	1.0
social costs	1.7
private benefits	0.5
external benefits	1.8

$$SB = PB + EB$$

$$2.3 = 0.5 + 1.8$$

$$SB > SC$$

What should the government decide and why?

	decision	reason
A	do not proceed	total costs exceed external benefits
B	do not proceed	total costs exceed total benefits
C	proceed ✓	private costs exceed private benefits
D	proceed ✓	social benefits exceed social costs

* You can draw IC of other combinations, it won't be on the same indifference curve

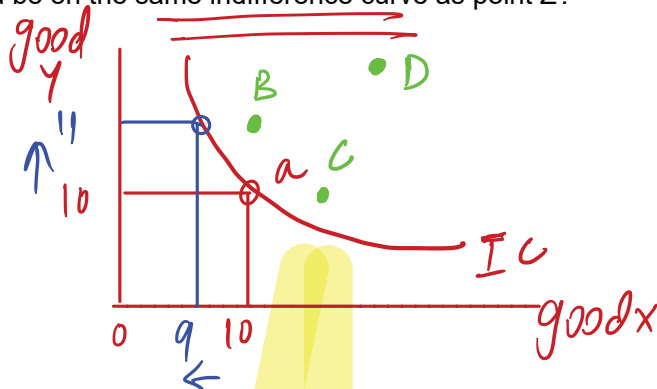
3

- 4 A consumer currently consumes 10 units of good X and 10 units of good Y at point Z on an indifference curve.

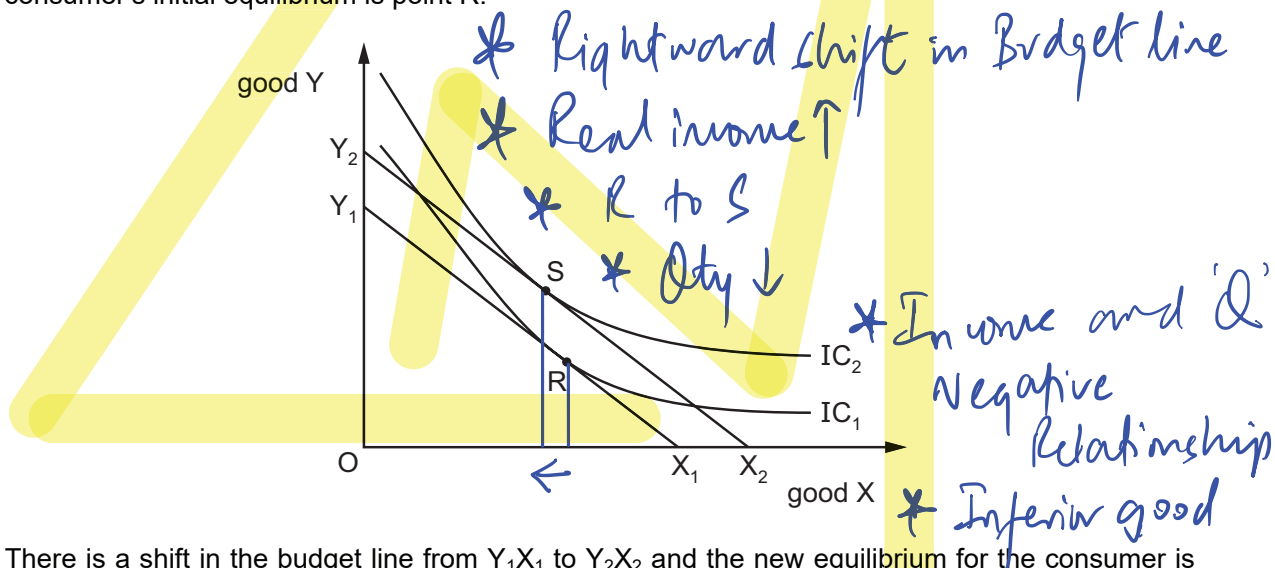
The consumer's marginal utilities from consuming both good X and good Y are positive.

Which combination of good X and good Y could be on the same indifference curve as point Z?

	units of good X	units of good Y
A	9	11
B	10	11
C	11	10
D	12	12



- 5 The diagram shows two indifference curves and two budget lines for goods X and Y. The consumer's initial equilibrium is point R.



There is a shift in the budget line from Y_1X_1 to Y_2X_2 and the new equilibrium for the consumer is point S.

What can definitely be concluded about good X?

- A It is a Giffen good. *Relation with price*
 B It is an inferior good. *-ve Relationship*
 C It is a normal good. *+ve relationship, Qty ↑*
 D It is a public good.

No relation
Nothing to do with income
free rider problem

4 $\frac{TC}{Q}$ $\frac{TR}{Q}$

- 6 What are the correct formulae for calculating average cost (AC) and average revenue (AR)?

	AC	AR
A	$\frac{TC}{MC}$	$\frac{TR}{MR}$
B	$\frac{TC}{P}$	$P \times Q$
C	$\frac{TC}{Q}$	$\frac{TR}{Q}$
D	$\frac{TC}{Q}$	$\frac{TR}{P}$

key
 MC = marginal cost
 MR = marginal revenue
 P = price
 Q = quantity
 TC = total cost
 TR = total revenue

$\rightarrow AR = P$

$AR = AC$

Normal profit

- 7 What is **always** present in monopolistic competition and perfect competition in the long run?

A average revenue = average costs

B average revenue = marginal revenue

C average costs = marginal costs

D average costs = marginal revenue

, MR, D, AR, P, under perfect competition
 Under perfect competition
 Under perfect competition

- 8 A firm maximises its profits by maximising its total revenue.

$TR = \max (MR = 0)$

What does this imply?

A Average fixed cost is zero.

B Average revenue is equal to average cost.

C Marginal cost is zero.

D Marginal revenue is greater than marginal cost.

Never (It always reduces)

Normal profit

$MR > MC$, no equilibrium

- 9 What will happen to an industry's supply curve if firms leave the industry?

$S \downarrow$

A It will shift to the left at any given price.

B It will shift to the right at any given price.

C There will be a downward movement along the supply curve.

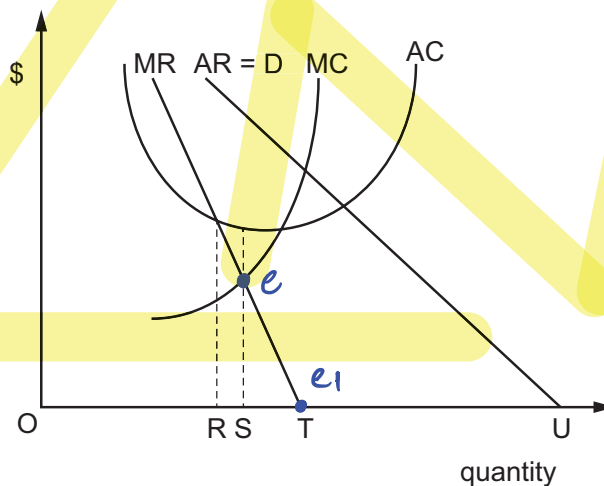
D There will be an upward movement along the supply curve.

$S \uparrow$

$D \downarrow$

$D \uparrow$

- 5
- productive → level of competition
- 10 Which characteristic of a market is a reason for a firm to remain small?
- A The minimum efficient scale is high.
 - B The potential for x-inefficiency is high.
 - C There are significant economies of scale.
 - ✓ D There is limited access to financial capital.
-] Refers to large firms
- Small firms, small scale
- 11 What is an example of the principal-agent problem? *Divorce of ownership and control*
- A the disincentive effect for entrepreneurs of high government tax rates
 - B the existence of a trade union to put forward workers' views to managers
 - C the lack of consumer knowledge of the quality of firms' products
 - ✓ D the separation of the owners of a firm from the firm's managers
-] No link to managers and owners
- (Profit max level of output vs Sales revenue max)
- 12 The diagram shows a firm in imperfect competition.



It changes its objective from profit maximisation to revenue maximisation.

$MC = MR$ $MR = 0$

What effect will this have on the firm's output?

- A decreases from T to R
- B decreases from U to T
- ✓ C increases from S to T
- D increases from S to U

Progressive tax

13 Which statement explains why a government decides to increase the highest rates of tax on personal income?

- It will change*
- A It expects total tax revenue to be unaffected by the policy change.
- B It is concerned about the possibility of emigration by some high earning individuals. *Then why setting high tax*
- ☒ C It regards equity considerations as being more important than efficiency ones.
- D It wishes to switch the emphasis of its tax system from direct to indirect taxation. *Direct used*

14 In certain countries benefits are provided to individuals on low income. As their income rises the benefits are reduced and income tax has to be paid.

- What can result from this? *unrelated (Micro)*
- A price stabilisation
- ☒ B poverty trap
- C replacement ratio
- D unemployment trap
- A poverty trap refers to an economic system in which it is difficult to escape poverty. A poverty trap is not merely the absence of economic means. It is created due to a mix of factors, such as access to education and healthcare, working together to keep an individual or family in poverty.*
- A replacement ratio is a rule of thumb that estimates what percentage of a person's pre-retirement income will be needed to maintain their lifestyle at retirement. Most studies suggest aiming for a target of between 70 and 85 percent of pre-retirement income.*
- Unemployment trap is a situation when unemployment benefits discourage the unemployed to go to work. People find the opportunity cost of going to work too high when one can simply enjoy the benefits by doing nothing.*

15 An economy requires large inputs of steel for its building programmes. After political pressure, the government imposes a minimum price on imported foreign steel.

When would this intervention lead to economic inefficiency?

- A when it encourages domestic steel producers to achieve economies of scale *Efficiency*
- B when it prevents dumping of low-grade steel *Advantage to domestic firms*
- C when it protects jobs of highly productive steel workers *Advantage*
- ☒ D when it reduces competition for steel workers *Form of protection used, X-inefficiency.*

16 What happens to economic rent and transfer earnings if the supply of labour becomes perfectly inelastic?

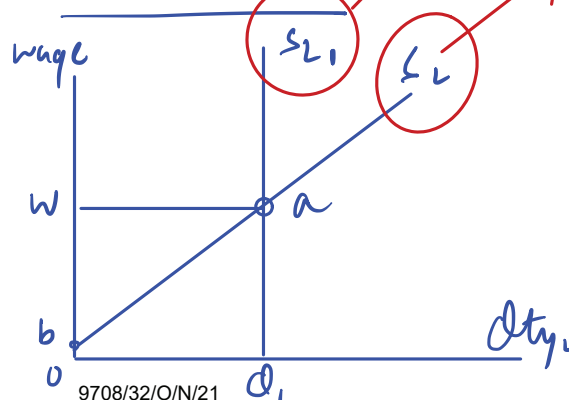
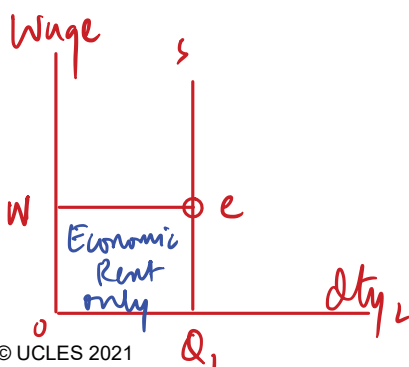
- A economic rent decreases; transfer earnings increase *No*
- B economic rent decreases; transfer earnings stay the same *No*
- ☒ C economic rent increases; transfer earnings decrease *No*
- D economic rent stays the same; transfer earnings decrease

$$E.R = OWaQ_L$$

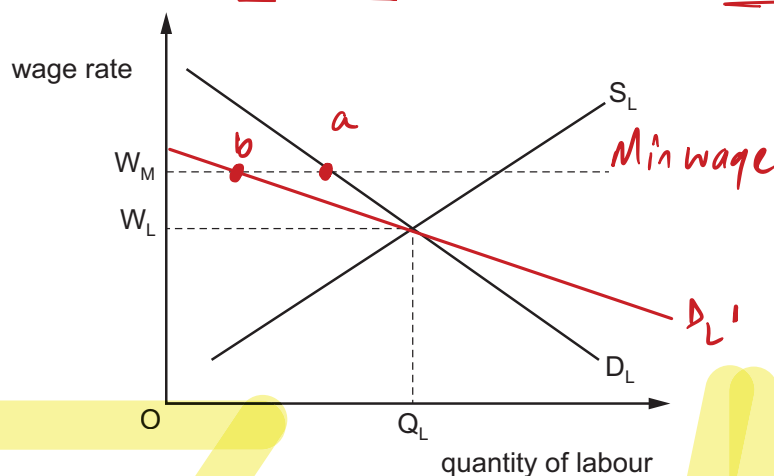
$$T.E = \text{zero}$$

$$T.E = Ob a Q_L$$

$$E.R = Wba$$



17 The diagram shows the effect of the introduction of a minimum wage (W_M) in the labour market.



When would such a minimum wage be least beneficial to workers who are currently employed?

A if demand for the product increases $D_L \uparrow$

B if the elasticity of demand for the workers were high

(Elastic) $w \uparrow$ $Q_{D_L} \downarrow$

C if the elasticity of supply for the workers were high

(At higher wages,

D if the productivity of the workers were to increase $D_L \uparrow$

they are more available)

18 Which statement about economic growth is not correct?

A Economic growth creates costs as well as benefits.

Yes

In terms of potential

B Long-term economic growth is measured by calculating the percentage increase in GDP for one year.

C Short-term economic growth can be represented by a shift from a point within a production possibility curve to a point on the curve.

Actual growth

D Sustainable economic growth is growth that does not reduce the resources available to future generations.

correct

19 Why is real GDP per head thought to be an imperfect measure of welfare in developed economies?

A frequent government manipulation and misuse of data

Doesn't happen in developed

B no account is taken of inflation

It does, that's why the word 'real' is there

C the restricted scope of the data's content and coverage

D the shadow economy is greater than the official economy

↳ not in developed

Doesn't account the quality of life

20 What changes are most likely to reduce the level of income inequality in an economy?

- A additional government regulation of product and factor markets *No effect on economy*
Direct tax ↑
 B increased progressive direct taxation and decreased indirect taxation *Redistribution*
Indirect tax ↓
 C increased trade union power and reduced labour market flexibility *Unemployment ↑*
 D reduced welfare benefits and increased rate of interest *Contractionary*

21 The table gives labour market statistics for Malaysia for January to March 2019.

	number of people
employed	15m ✓
unemployed	0.5m ✓
not available for work	7m
population of working age	23m

What is the size of Malaysia's labour force? *Employed + Unemployed*

- A 15m B 15.5m C 22m D 22.5m

$$15 + 0.5 = 15.5$$

22 What would encourage industrial expansion in a region of high unemployment?

- A a rationing system for building development in that region *First come first serve*
 B an increase in taxes on investment *No expansion then when higher taxes*
 C a requirement that only local labour may be employed *No expansion*
 D an end to nationally negotiated wage rates *Removal of minimum wage*

23 An island economy has a small manufacturing base, limited mineral resources and limited agricultural land.

Which development is **most** likely to lead to sustainable growth?

- A building larger fishing boats to allow fishermen to enjoy economies of scale *more current growth*
Current growth
 B clearing rainforest to create agricultural land for the production of much needed foodstuffs
 C training farmers and agricultural workers in new production methods to increase crop yields
 D using its domestic mineral resources to give a rapid increase to manufacturing output *current growth*

→ *Increasing their productive potential*

* *current growth, this means not left for future*

24 The information in the table is taken from a country's national income accounts.

income	\$ (millions)
wages	8000 ✓
salaries	7000 ✓
unemployment benefit	1000
government pensions	1000
rent	3000 ✓
interest	2000 ✓

What is the value of national income in millions of dollars?

- A 17 000 B 19 000 C 20 000 D 21 000

$$8000 + 7000 + 3000 + 2000 = 20000$$

25 In a closed economy with no government sector the marginal propensity to consume is 0.6 at all levels of income. There is an increase in private sector investment of \$100 million.

What will be the increase in national income?

- A \$60 million B \$100 million C \$166 million D \$250 million

$$\left[\frac{1}{1-c} \times \Delta E \right]$$

$$\frac{1}{1-0.6} \times 100 \Rightarrow 250$$

26 According to liquidity preference theory, which money balances are responsive to a change in the interest rate?

	<u>Transaction and precaution</u> active balances	idle balances
<u>A</u>	no ✓	yes
B	no ✓	no
C	yes	yes
D	yes	no

→ speculative (highly elastic)

Active balance is held for the function of money as a means of payment, and idle money is held for its function as a form of asset. Active balance is also called 'transaction' and 'precautionary' balances. In short, we call it transaction balance (Mt) which is assumed to be proportional to income.

→ No or less responsiveness

27 The bank cash deposit ratio changed from 5% to 10%.

What will be the result?

- A Bank deposits will fall by 10%.
B Banks deposits will rise by 5%.
C The credit multiplier will fall by 50%.
D The credit multiplier will increase by 5%.

↗ Multiplier reduced

$$\frac{1}{5\%} = 20$$

$$\frac{1}{10\%} = 10$$

$$\% \Delta = \frac{10-20}{20} \times 100$$

$$\Rightarrow -50\%$$

It will fall by 50%.

credit multiplier = $\frac{1}{mpc}$

28 In a developing economy, which policy is most likely to increase the rate of economic growth but restrict economic development?

- A an increase in the provision of healthcare facilities
- B an increase in the school leaving age
- C a removal of health and safety regulations
- D the promotion of export-led growth

* Other options leads to economic development

output ↑, Quality of life ↓

29 Which policy is most likely to conflict with a government's aim of price stability in the short run?

- A increasing spending on education and health $AD \uparrow, P \uparrow$
- B increasing the basic rate of income tax $AD \downarrow$
- C limiting wage increases in the public sector cost nahi barhe gi
- D preventing mergers of large companies Price nahi barhe gi

30 What is most likely to be an appropriate government action to reduce both a balance of payments current account surplus and the rate of inflation?

- A decrease the rate of interest $R \downarrow, C \uparrow, I \uparrow, AD \uparrow, P \uparrow$
- B devalue the currency Depreciation, surplus ↑, $AD \uparrow, P \uparrow$
- C increase direct taxes, $P \uparrow$
- D remove tariffs on imports $M \text{ prices } \downarrow, M(TE) \uparrow, \text{surplus } \downarrow$

$\Downarrow$
 $AD \downarrow (P \downarrow)$

$R \downarrow$
depreciate
surplus ↑